

the question on prior cancellations was false makes the issue of materiality one for the jury.

The motion is **DENIED** as to this COA.

COA No. 2 – Breach of Implied Covenant of Good Faith

"Only one with the right to sue an insurance company for contract damages for breach of the insurance policy can also sue the insurance company for tort damages for breach of the covenant of good faith." (*Wexler v. California FAIR Plan Assn.* (2021) 63 Cal. App. 5th 55, 62.) As the question whether Defendant waived its right to rescind involves a triable issue of fact, summary adjudication of this COA cannot be granted.

The motion is **DENIED** as to this COA.

COA No. 3 – Negligence

"The elements of a cause of action for negligence are well established. They are '(a) a legal duty to use due care; (b) a breach of such legal duty; [and] (c) the breach as the proximate or legal cause of the resulting injury.' " (*Ladd v. Cty. of San Mateo* (1996) 12 Cal. 4th 913, 917.) "[T]he existence of a duty is a question of law for the court." (*Kentucky Fried Chicken of Cal., Inc. v. Superior Court* (1997) 14 Cal. 4th 814, 819.)

Negligence is not among the theories of recovery generally available against insurers." (*Sanchez v. Lindsey Morden Claims Servs., Inc.* (1999) 72 Cal. App. 4th 249, 254.) "[A]n insurer has the right to rely on the insured's answers to questions in the insurance application without verifying their accuracy." (*Mitchell v. United Nat'l Ins. Co.* (2005) 127 Cal. App. 4th 457, 477 ("*Mitchell*").)

The complaint alleged Defendant owed Plaintiff a duty to carefully review, issue, and enforce the policy. (Complaint ¶ 47.) Defendant allegedly breached that duty by failing to verify the accuracy of the information on the application and issuing a policy based upon incorrect data. (Complaint ¶ 50.) Further, Defendant accepted Plaintiff's premium payments despite knowledge or constructive knowledge of inaccuracies on the application.

As discussed above, Bank was Plaintiff's agent. (*Mercury, supra*, 169 Cal. App. 4th at 1073.) There was, "a duty on the part of the insured to read the contract and the application in accordance with her representations and to report to the company any misrepresentations or omissions. There is no showing in the present case that the failure to read the application was due to any act of the defendant and under the decisions the facts herein do not make an exception so as to excuse the insured's failure to read it. By neglecting to inform the company of the material omissions, the insured became responsible for such misrepresentations or omissions." (*Telford v. New York Life Ins. Co.* (1937) 9 Cal. 2d 103, 107 ("*Telford*").)